

Brookfield's Canary Wharf Data Centers: The Real Play Is Energy, Not Real Estate

The firm is not just building AI infrastructure. It is converting a financial district into a power-constrained asset play.

The most important detail in Brookfield's plan to bring data centers to Canary Wharf is not the location. It is the energy thesis. CEO Connor Teskey told CNBC that AI infrastructure is now the single largest theme at Brookfield, bar none. That is not a real estate statement. It is a capital allocation statement.

And it explains why one of the world's largest asset managers wants to put data centers in a financial district that has spent the last decade trying to diversify beyond banking. Brookfield co-owns Canary Wharf Group with the Qatar Investment Authority. That means the firm is not entering this market as a tenant or a developer negotiating for land. It is the landlord.

The data center play is a vertical integration of its own asset base: Brookfield controls the real estate, the energy infrastructure through its renewables portfolio, and the capital to build. The question is not whether the economics work. The question is what this reveals about where institutional capital sees the highest risk-adjusted return in commercial real estate today. The answer is not office. It is not retail.

It is not even multifamily in most markets. It is infrastructure disguised as real estate. Data centers are not trading on cap rates driven by rent growth and lease-up timelines. They are trading on power availability, construction timelines, and the credit quality of hyperscaler tenants signing 10- to 15-year net leases. The underwriting is closer to a utility than a office building.

The return profile is lower than development-era office but more predictable than any asset class that depends on speculative leasing. Brookfield's move into Canary Wharf signals that the firm sees the U.K. as a structural beneficiary of the AI buildout, not because the U.K. has a home-grown hyperscaler, but precisely because it does not. Teskey said the U.K. is the middle ground between the U.S.

and China, where AI infrastructure will be driven more by governments than by private tech giants. That is a bet on policy-driven demand, not corporate leasing velocity. It is a different risk profile than building for AWS or Microsoft in Northern Virginia. The capital markets implication is straightforward. Institutional capital is rotating out of assets that depend on employment growth and into assets that depend on energy consumption.

The underwriting discipline Teskey acknowledged is not about avoiding froth. It is about ensuring that every megawatt of capacity is backed by a contract that covers the cost of capital plus a margin that justifies the construction risk. Who benefits from this shift? Owners of land with access to high-capacity power grids. Developers who can navigate permitting and grid interconnection timelines. Investors who can underwrite energy infrastructure alongside real estate.

And governments that want AI infrastructure without subsidizing it directly. Who is exposed? Owners of office assets in secondary locations that lack the power density or the tenant credit to compete for data center conversion. Lenders with construction exposure to speculative office or retail. And any developer building data centers on spec without a pre-lease from a counterparty that can absorb the capital cost.

The market should watch how quickly Brookfield moves from announcement to construction. The timeline from land control to energized data center is the real constraint. Capital is available. Power is not. The firm that can compress that timeline will capture the spread. Brookfield is not making a real estate bet in Canary Wharf. It is making an energy bet with a real estate wrapper.

The distinction matters because the underwriting, the risk, and the return profile are fundamentally different from anything the district has housed before.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co